INFRAUD.ORG

Investment Fraud Rings

An advanced, India-focused guide to WhatsApp trading groups, fake broker apps, impersonation, guaranteed-return traps, SEBI verification, and investor protection.

LEVEL	CURRICULUM	FOCUS
Advanced	6 lessons	Investment fraud

What you will learn

- How WhatsApp/Telegram groups build credibility before soliciting money.
- How fake broker apps, cloned websites, and impersonated professionals operate.
- How guaranteed-return claims, urgency, fake screenshots, and blocked withdrawals signal risk.
- How to verify the exact legal entity, SEBI registration category/status, exchange membership, and authorised app.
- How to distinguish a registered intermediary from an unregistered tipster or impersonator.
- How to preserve evidence and report suspected securities-market or cyber-enabled financial fraud.

THE CENTRAL RULE

Never transfer money because a social-media group, unknown adviser, or app promises guaranteed profits. Independently verify the exact entity and platform through official SEBI and exchange sources.

Important scope

This guide is for fraud awareness, not investment, legal, tax, or trading advice. SEBI registration relates to a specific entity and regulated activity; it does not guarantee profits, honesty, suitability, or freedom from risk. Verify the legal name, registration number, category, current status, official contact, domain, app, and payment beneficiary.

CONTENTS

Six-lesson learning path

Lesson	Topic
1	How investment fraud rings are structured
2	WhatsApp/Telegram group manipulation
3	Fake broker apps, clone websites, and payment traps
4	SEBI registration and authorised-platform verification
5	Guaranteed returns, manipulation, and account misuse
6	Incident response, complaints, and evidence
Reference	Due-diligence checklist, case study, quiz, glossary, sources

FOUR-QUESTION FILTER

Who is offering this? Are they authorised for this activity? Is the app/domain/payment route officially associated with them? Can I verify every claim without using links or phone numbers supplied by the promoter?

LESSON 1 | FRAUD-RING STRUCTURE

How investment fraud rings operate

A coordinated operation

Investment fraud may involve separate people or accounts for advertising, relationship-building, technical support, payment collection, and withdrawal excuses. The visible “expert” may not control the platform or money.

Common roles

Lead generator finds targets through ads and unsolicited messages. Group admins control discussions. Fake analysts share tips and screenshots. Impersonators borrow real brands or registration details. Platform operators run cloned apps. Payment collectors provide accounts or wallets. Recovery scammers demand more fees after the first loss.

The typical funnel

Attraction: a social post promises exclusive tips. Credibility: fake certificates and testimonials build trust. Commitment: a small deposit or membership is requested. Escalation: premium plans, institutional access, or larger allocations appear. Extraction: fake profits encourage more deposits. Exit: withdrawals are blocked, groups disappear, or new fees are demanded.

Why multiple identities?

Separate profiles create the illusion of a large organisation. Several accounts praising the same offer are not independent verification. Fraudsters may control all of them.

LESSON 2 | SOCIAL ENGINEERING

WhatsApp and Telegram group manipulation

Authority theatre

Admins may call themselves chief analysts, institutional desks, fund managers, or market experts. Titles and confident language do not establish professional status.

Fake social proof

Members post profit screenshots, withdrawal receipts, and testimonials. These can be fabricated, edited, or coordinated. A large group or busy chat is not proof of legitimacy.

Selective performance

Winning calls are highlighted while losses, deleted messages, and failed recommendations are hidden. Ask whether a complete, independently verifiable record exists.

Scarcity and FOMO

“Only ten slots remain”, “institutional allocation closes soon”, or “act before market opens” are pressure tactics designed to prevent due diligence.

Isolation and control

Members may be told not to contact their broker, bank, exchange, or family. They may be asked to share trading credentials, OTPs, screens, or remote access. Stop if this happens.

Special-access claims

Be cautious of FPI/FII sub-accounts, institutional accounts, upper-circuit stocks, block deals, discounted pre-IPO shares, or preferential allotments offered privately through a group. Exchanges have warned about impersonation and fake certificates linked to such offers.

LESSON 3 | PLATFORM IMPERSONATION

Fake broker apps, clone websites, and payment traps

How fake apps work

A fake app can copy a real broker's logo, charts, order book, and account screens. It may display fictional deposits, trades, and profits even when no genuine exchange transaction occurred.

Technical warning signs

APK files sent by chat; misspelled or lookalike domains; app publisher not matching the broker; unrelated support email; missing or copied legal information; and links not reachable from the genuine broker or exchange site.

A screen balance proves nothing

A displayed balance is only data shown by that app. It does not prove funds are held by a regulated broker or that securities were bought. Cross-check holdings and transactions through genuine broker statements, exchange messages, and depository records.

Payment-route checks

Compare the beneficiary name and payment instructions with official information from the verified intermediary. Stop if money is requested by a personal account, unrelated company, unknown UPI ID, or crypto wallet. Do not trust a QR code or screenshot supplied by a group admin.

Authentic app verification

Reach SEBI Investor Support or exchange app lists by typing the official address yourself. Match the exact app name, publisher, broker legal name, and official download link. An app listing is a verification clue, not a guarantee against every fraud or market loss.

SEBI Check

SEBI has published tools including SEBI Check and validated UPI handles for checking payment details of eligible investor-facing intermediaries. Navigate to these tools from official SEBI sources rather than a promoter's link.

LESSON 4 | REGULATORY DUE DILIGENCE

How to verify SEBI registration and authorised apps

Start with the legal entity

Ask for the full legal name, not only a brand, app, group name, or mentor's name. Obtain the claimed SEBI registration number and category.

Verify independently

Use SEBI's official intermediary directory. Compare exact legal name, registration number, category, address, and current status. Do not rely on a certificate image or number pasted in chat.

Check the activity category

Stock broking, investment advice, research analysis, and portfolio management are different activities. A registration in one category does not automatically authorise all other services.

Check exchange membership and app

For a stock broker, verify relevant exchange membership and the exact mobile app through official SEBI Investor Support and NSE/BSE app lists. Confirm the publisher and official website match.

Verify advisers separately

A broker registration does not automatically authorise every WhatsApp group member to provide investment advice or paid research recommendations. Verify the person/entity in the appropriate category and match official contact details.

Registration is not a safety guarantee

A genuine firm can be impersonated. Registration does not guarantee performance, eliminate market risk, validate a social-media account, or prove that a payment request is genuine. Contact the entity through independently sourced official details.

VERIFY THE WHOLE CHAIN

The legal entity, registration category/status, exchange membership, official domain, app publisher, support channel, and payment beneficiary should make sense together. A mismatch is a reason to stop.

LESSON 5 | ADVANCED RED FLAGS

Guaranteed returns, manipulation, and account misuse

Guaranteed returns

SEBI investor education warns against assured, guaranteed, or near-certain returns in securities-market investments. Fixed daily profits, no-loss trading, guaranteed upper-circuit gains, and assured IPO allotment are major warning signs.

Pump-and-dump pattern

A group may aggressively promote a thinly traded security, create excitement, and encourage quick buying. Promoters or early holders may sell into demand, leaving later buyers exposed to a sharp fall. Do not treat group price targets as independent research.

Unauthorised trading / dabba services

A promoter may offer off-exchange trading and show an internal app balance instead of independently verifiable exchange transactions. NSE cautions investors about unauthorised apps and illegal dabba trading.

Account takeover

Never share broker login, password, OTP, PIN, API key, or remote-access session. Do not let a group admin trade through your account based on informal promises. Review orders, holdings, funds, and exchange/depository alerts.

Fake recovery services

After a loss, another person may claim to be a cyber expert, lawyer, regulator, or recovery agent and demand advance fees, tax, wallet activation, or remote access. Do not pay anyone promising guaranteed recovery.

LESSON 6 | INCIDENT RESPONSE

What to do if you suspect or experience investment fraud

If you have not paid

Stop engaging. Do not click links or install apps. Save group links, usernames, phone numbers, emails, URLs, app names, screenshots, and timestamps. Report unsolicited tips or impersonation through the relevant exchange process where appropriate.

If money was transferred

Contact your bank/payment provider immediately through official channels. Ask to register a complaint and secure the account. For financial cyber fraud in India, call 1930 promptly and file at cybercrime.gov.in. Retain acknowledgement numbers.

If a trading account is compromised

Contact the genuine broker using independently sourced details. Ask it to secure the account. Change compromised passwords from a trusted device, revoke suspicious sessions/API access, and review orders and holdings.

Securities-market complaint: SCORES

For a grievance against a listed company or SEBI-registered intermediary, first approach the concerned entity. If unresolved, eligible complaints can be escalated through SEBI SCORES at scores.gov.in. SCORES is not a universal instant-recovery service for every unknown scammer.

Preserve evidence

Keep transaction date/time, amount, UPI/bank reference, beneficiary, bank complaint number, chats, group details, URLs, fake certificates, app name, withdrawal demands, and original screenshots. For crypto, preserve wallet address, transaction hash, network, exchange details, and support tickets.

What not to do

Do not pay further fees to unlock a withdrawal or recover a deposit. Do not delete evidence. Do not publish PAN, Aadhaar, bank credentials, OTPs, or sensitive screenshots publicly. Reporting does not guarantee recovery.

REPORT THROUGH THE RIGHT CHANNEL

Financial cyber fraud: call 1930 and report at cybercrime.gov.in. Eligible grievance against a registered intermediary: approach it first, then use SCORES if unresolved.

QUICK REFERENCE

Investment-offer due-diligence checklist

Question	What to verify
Who is the legal entity?	Full legal name—not just group, brand, mentor, or app nickname.
What activity is offered?	Brokerage, investment advice, research analysis, portfolio management, or another activity.
Is registration genuine/current?	Exact number, category, legal name, and status on official SEBI records.
Is the app authorised?	Exact app and broker through official SEBI Investor Support and exchange lists.
Does the domain match?	Navigate from official sources; do not rely on supplied links or logos.
Who receives the money?	Beneficiary should match official instructions; stop if unrelated.
Are returns guaranteed?	Treat guaranteed securities-market returns as a major red flag.
Am I pressured?	Reject urgency, secrecy, VIP slots, and requests to borrow/deposit more.
Can I verify independently?	Contact the entity using official details found yourself.

Illustrative case study

Scenario: A WhatsApp “institutional desk” claims association with a famous broker and posts a SEBI certificate image. Members show 20% gains. The admin asks the investor to install a private APK and transfer ■50,000 to activate a special account. The app displays profits, but withdrawal requires another “tax deposit.”

Analysis: This combines impersonation, unverifiable testimonials, special-account claims, a non-official app, a payment route requiring verification, high-return language, and a withdrawal-fee demand. A certificate image and app balance do not prove authorisation or real trades.

Safer response: Do not install or pay. Verify the legal entity and category on SEBI’s official resources, check the app against exchange listings, and contact the real broker independently. If money was transferred, contact the bank, call 1930, report online, and preserve evidence.

LEARNING POINT

Verify the entire chain—not just one certificate or registration number. A real registered firm can be impersonated by an unrelated social-media account.

KNOWLEDGE CHECK

Advanced quiz

Choose the best answer. Answers follow.

1. A WhatsApp admin shares a SEBI certificate image. What next?

A. Trust it

B. Verify exact entity, number, category, and status on SEBI’s official site

C. Pay a test amount

2. A group promises 15% monthly guaranteed returns.

A. Low risk

B. Major red flag; independently verify

C. Join if members post profits

3. An app shows ■3 lakh profit but demands a fee to withdraw.

A. Pay the fee

B. Treat balance as unverified; stop payments

C. Borrow to unlock

4. A registered broker’s logo appears on a Telegram account. Is it genuine?

A. Yes

B. Not proven; contact broker through official details

C. Yes if admin knows jargon

5. Best way to check a trading app?

A. Use group APK

B. Check official SEBI/exchange app lists and match exact details

C. Trust reviews alone

6. A self-described expert asks for your password and OTP.

A. Share them

B. Refuse; never share credentials or OTPs

C. Share password only

7. You lost money to a fake investment app.

A. Pay recovery agent

B. Contact bank, call 1930, report online, preserve evidence

C. Delete chats

8. A complaint against a registered intermediary remains unresolved.

A. Consider SCORES after first approaching the entity

B. Pay group admin

C. Post OTP publicly

Answer key

1. B — Check the exact legal entity and registration details independently.

2. B — Guaranteed securities-market returns are a serious warning sign.

3. B — A screen balance is not proof of real holdings or withdrawable funds.

4. B — Genuine firms can be impersonated.

5. B — Use official SEBI/exchange app lists and match exact app and intermediary.

6. B — Never share trading credentials, OTPs, or passwords.

7. B — Notify the bank/payment provider and report promptly through official channels.

8. A — Approach the entity first; eligible unresolved grievances may go to SCORES.

GLOSSARY & OFFICIAL SOURCES

Key terms

SEBI	Securities and Exchange Board of India, India's securities-market regulator.
Intermediary	An entity performing a regulated role, such as stock broker, investment adviser, research analyst, or portfolio manager.
Registration category	The specific regulatory category under which an entity is registered; one category does not authorise every activity.
Authorised trading app	An app identified through official SEBI/exchange resources as belonging to a registered intermediary.
FPI / FII	Foreign Portfolio Investor / Foreign Institutional Investor terminology sometimes misused to advertise special access.
Pump-and-dump	A manipulation pattern where promotion may inflate demand before promoters sell, leaving later buyers exposed.
Dabba trading	Unauthorised off-exchange trading activity.
SCORES	SEBI Complaints Redress System for eligible investor grievances.
SEBI Check / validated UPI	Tools/identifiers to help verify payment details for eligible registered intermediaries; reach through official SEBI sources.

Official sources and further reading

Primary regulator, exchange, and government sources. Accessed 14 November 2026. Websites and processes may change; confirm the latest details on the official site.

SEBI Investor – Fake Trading App Scam Landscape
https://investor.sebi.gov.in/pdf/Fake%20trading%20app%20scam%20Landscape.pdf
Explains social-media hooks, fake apps, displayed profits, pressure to invest more, blocked withdrawals, and red flags.

SEBI Investor – How to Spot a Scam
https://investor.sebi.gov.in/spot-any-scam.html
Guaranteed returns, unregistered entities, documentation, due diligence, and pressure tactics.

SEBI Investor – Staying Away from Investment Frauds
https://investor.sebi.gov.in/beware-of-investment.html
Due diligence, unsolicited offers, high-return promises, and reporting.

SEBI Investor Support – Registration and authorised apps
https://investor.sebi.gov.in/Investor-support.html
Intermediary registration checks and authorised mobile-app lists.

SEBI – Intermediaries directory
https://www.sebi.gov.in/intermediaries.html
Official directory starting point for regulated intermediaries.

NSE – Advisory for Investors
https://www.nseindia.com/static/invest/advisory-for-investors
Warnings about WhatsApp/Telegram impersonation, fake institutional accounts, unauthorised apps, guaranteed returns, and credential sharing.

NSE – Report unsolicited messages / stock tips
https://www.nseindia.com/static/regulations/unsolicited-messages-report
Exchange information on reporting unsolicited stock tips.

SEBI Investor – Grievance redressal
https://investor.sebi.gov.in/securities-resolvedispute.html
Approach the intermediary first, then SCORES for eligible unresolved grievances.

SEBI SCORES portal
https://scores.gov.in/
Official online portal for eligible securities-market complaints.

National Cyber Crime Reporting Portal
https://cybercrime.gov.in/
Official cybercrime reporting portal; financial cyber fraud helpline 1930.

INFRAUD DISCLAIMER

This guide is for education and awareness only. INFRAUD cannot verify that an investment, broker, adviser, social-media account, trading app, payment recipient, or promised return is genuine. A scan result is not SEBI approval, financial advice, or a guarantee of safety or recovery. Verify independently through official regulatory and exchange sources.

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Check Before You Trust.